- Close end fund- these schemes have a stipulated maturity period. Fund is open for subscription only for a specified period of time.
- Investors have an option to sell back the units to mutual fund at the NAV (Net Asset Value) market value of assets.
- Tax rebate is available under some schemes such as ULIP (Unit Linked Insurance Plan and Pension Plans).
- There is no limit on investment in some schemes.
- Units can be pledged as security for loans.
- Unit holders can switch from close end to open end schemes.
- Some schemes may have high risk and high rate of interest. On the other hand, some schemes have fixed rate of interest but no risk.
- Dividends are tax free.

7.9.1.7 Bonds

Bonds are also debentures which are issued by government or Government Company. On liquidation (closing) of the company, the creditor is secured.

7.9.1.8 Chit Funds

This is an easy and simple device where a group of people join as committee and agree to contribute a fixed sum every month. Chits are taken out once every month. Chits are taken out once every month. The promoter gets the first collection and after that, whosoever gets his name on the chit drawn, gets the money.

SUMMARY

- Management is a process involving activities, through which action is initiated and resources are used for achieving a goal.
- Planning, organizing, controlling and evaluating are essential for effective management.
- Values, Goals and standards are important factors in the management process. Values are the key to all motivating factors in human behaviour. Goals are the desires that individuals or families are willing to work for. Standards are a set of measure of values stemming from our value patterns, determining the amount and kind of interest in something and the satisfaction we receive.
- Management occurs when there is some problem to solve, some choices to make. A decision can be defined as a course of action consciously chosen from the available alternatives for the purpose of desired result.
- Effective management involves careful use of resource. Resources can be defined as anything we use to achieve what we want (our goals). In other words, they are the materials and human attributes which satisfy our wants. They include human resources such as a. Knowledge b. Time c. Energy d. Abilities and skill e. Attitude and Non Human resources such as a. Money b. Material Goods c. Community facilities.

Chapter7_156-184.indd 181 31-01-2019 15:24:40